

Rigetti Computing, Inc.

RGTI NASDAQ

Hold	\$21.77 ▲ 5.25%	12M Price Target \$22.00	52-Week Range \$10.30 – \$58.15	Market Cap \$7.23B
------	-----------------	-----------------------------	------------------------------------	-----------------------

RGTI: Quantinuum IPO Reset Triggers Sector De-rating; Maintain Hold

WHAT'S CHANGED

- Stock down 19% over five sessions (from \$26.88 → \$21.76) on Quantinuum's lackluster IPO debut (6/5), which Barron's flagged as "uninspiring" — repricing the entire pure-play quantum cohort lower.
- CEO Subodh Kulkarni sold 61,000 shares at \$24.38 (\$1.49M) on 6/1, the only material insider transaction in 30 days; however, near-dated options flow is firmly bullish (P/C 0.28, \$22/\$22.5 June calls trading 2–7x OI).

IMPLICATIONS

The Quantinuum IPO has functionally reset comparable-multiples for the quantum cohort, and RGTI — still ~\$7.2B mkt cap on sub-\$20M trailing revenue — is most exposed to multiple compression given its narrative-driven valuation. That said, the dichotomy between bullish call flow and CEO selling near \$24 suggests the market sees \$22 as a near-term equilibrium with binary catalyst risk skewed to roadmap execution (84-qubit Ankaa-3 progression, gate fidelity milestones). With shares at 24% of 52-week range and institutional ownership at 54% (BlackRock 7.7%, Vanguard 10.2% combined), downside is likely buffered near \$17–18 absent a fundamental capital-raise overhang.

VALUATION

At \$7.23B market cap on ~\$18M FY26E revenue, RGTI trades at ~400x EV/Sales — a level only sustainable on optionality, not DCF. Our \$22 PT reflects a blended 250x FY27E EV/Sales (vs. IONQ ~180x post-Quantinuum reset) and probability-weighted scenarios; ~1% upside to spot. Multiple compression accelerates if quantum-cohort sentiment continues to fade post-IPO; expansion requires a credible commercial backlog datapoint.

KEY RISKS

- Further sector de-rating as Quantinuum trades poorly and investors recalibrate pure-play quantum multiples downward.
- Dilutive equity raise — RGTI burns ~\$60-70M/yr; ATM issuance at depressed levels would pressure the float.
- Technical milestone slippage on error correction / gate fidelity allowing IONQ, IBM, or Google to capture mindshare and DARPA/government contract flow.

RECENT NEWS

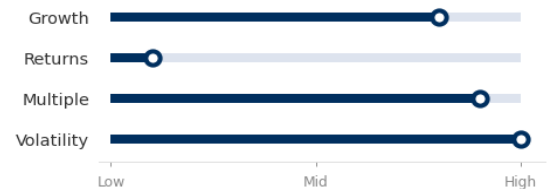
Rigetti Computing, Inc. (RGTI) Is a Trending Stock: Facts to Know Before Betting on It
Zacks · 2026-06-08 13:00

The Next Quantum Computing IPO CEO Just Told CNBC 'It Is Not 10 to 15 Years Out. It's Very...
24/7 Wall St. · 2026-06-06 12:38

Key Data

Price (USD)	\$21.77
12M Price Target	\$22.00
Upside / (Downside)	+1.1%
Market Cap	\$7.23B
FY2026E Revenue	\$18M
FY2027E Revenue	\$32M
FY2026E EPS	(\$0.45)
FY2027E EPS	(\$0.38)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$26.00	\$22.00	\$17.00
6 Months	\$32.00	\$23.00	\$14.00
1 Year	\$40.00	\$25.00	\$11.00
2 Years	\$55.00	\$30.00	\$9.00
5 Years	\$100.00	\$45.00	\$6.00
10 Years	\$250.00	\$80.00	\$3.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology (+2.15% 1D), Energy

COLD SECTORS: Cons. Staples, Healthcare (1D weakness)

ROTATION WATCH: Tech bounced +2.15% today but remains -5.92% on the week — the cohort is in a corrective phase post-AI-trade exhaustion, with quantum names disproportionately punished by the Quantinuum debut.

BYPRODUCT PLAY: Quantum infrastructure suppliers (cryogenics, dilution refrigerators) and QTUM ETF offer diversified exposure with lower binary risk than single-name pure-plays like RGTI/IONQ.

OUTPERFORMERS & PEER CONTEXT

- QBTS (D-Wave Quantum): Annealing-focused model delivering real enterprise backlog growth, cited by 24/7 Wall St. as the "real backlog" alternative to cash-burning peers.
- IBM (IBM): Diversified enterprise quantum exposure with profitable core business cushioning quantum R&D — relative outperformer in sector drawdown.

RGTI CONTEXT: RGTI is lagging the broader QTUM ETF basket post-Quantinuum IPO and underperforming QBTS on backlog narrative; the sell-off is sector-driven rather than RGTI-specific, but RGTI's premium multiple makes it the most vulnerable mean-reversion candidate.

INVESTMENT STRATEGY

5/10 Conviction Score

Position Size: 1-2% of portfolio (speculative sleeve)

Entry Points: \$17-19 on capitulation or post-milestone breakout >\$27

Time Horizon: 12-18 months tied to gate-fidelity milestones

Thesis Invalidation: Two-qubit gate fidelity stalls <99.5% or cash runway <12 months

Hedging: Pair long RGTI / short IONQ or long QTUM ETF basket